Andhra Pradesh Chief Minister's Entrepreneur Programme Scheme Guideline

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1. The Scheme

The Chief Minister's Entrepreneur Programme (CMEP) is a flagship initiative of the Government of Andhra Pradesh, designed to promote entrepreneurship and generate sustainable employment opportunities across the State. Andhra Pradesh has a strong and diverse enterprise base, with over 20.77 lakh registered MSMEs as per Udyam Registration.

The scheme facilitates the establishment of new manufacturing units and knowledge economy in rural and urban areas. This initiative aims to strengthen the local production base, enhance value addition, generate sustainable employment, and promote balanced and inclusive regional development.

CMEP is structured as a credit-linked, back-ended margin money subsidy scheme, providing partial capital support to eligible entrepreneurs with the objective of reducing financial burden while encouraging prudent and responsible credit utilization through the formal banking system.

The programme places strong emphasis on inclusive, transparent, and performance-linked implementation, with focused support for first-generation entrepreneurs, women entrepreneurs, and members of disadvantaged and

underrepresented communities

Implementation of CMEP shall be undertaken in a phased manner, commencing with a pilot phase in select districts during FY 2026–27. Based on the learning's and outcomes of the pilot phase, the scheme shall be progressively scaled up for state wide roll-out later in the same financial year, supported by a dedicated online portal for application processing, subsidy management, monitoring, and outcome tracking.

2. Objectives

i. To generate sustainable self-employment in rural and urban areas through the establishment of new labour-intensive manufacturing units, and knowledge economy sectors thereby strengthening local economic development.
ii. To promote entrepreneurship among educated unemployed youth and first-generation entrepreneurs, enabling self-reliance through viable and sustainable enterprise creation.
iii. To enhance income and wage-earning capacity, promote manufacturing-led value addition, and contribute to the growth of the State Gross State Domestic Product (GSDP).
iv. To ensure inclusive participation of women, SC's, ST's, OBC's, Persons with Disabilities, and other disadvantaged groups in entrepreneurship and economic development.
v. To promote balanced and decentralized regional development, reduce distress migration by creating livelihood opportunities at the place of residence, and advance the objective of "One Family – One Entrepreneur" across all districts of the State.

3. Quantum and Nature Financial Assistance

3.1 Backward and Forward Linkages: Up to 5% of the total allocation under the Budget Estimates for a financial year under AP CMEP, or such amount as may be approved by the competent authority, shall be earmarked towards Backward and Forward Linkages. These funds shall be utilized by the AP MSME Development Corporation for conducting awareness camps, State and District-level monitoring meetings, workshops, exhibitions, bankers' meetings, publicity activities, Entrepreneurship Development Programme (EDP) training, physical verification a n d Geo-tagging, evaluation and impact assessment studies, creation and upgradation of IT infrastructure, awards, other related activities, and settlement of residual liabilities.

3.2 Sector-wise earmarking of funds: Out of the total budget earmarked under the AP CMEP Scheme for margin money assistance, one-third of the allocation shall be reserved for eligible units under the Knowledge Economy sector, while the remaining allocation shall be utilized for units in the Manufacturing sector. This allocation framework is intended to ensure adequate support and promotion of knowledge economy enterprises alongside manufacturing activities under the

Scheme.
The above allocation ratio may be reviewed and revised from time to time by the State Level Monitoring Committee (SLMC) based on the performance and requirements of the Scheme.

3.3 funding under CMEP

Sectors	Project Cost Limit
Knowledge Economy	Up to ₹50 lakh
Manufacturing	Upto ₹75 lakhs

Note:

i. **The maximum admissible project/unit cost under the Knowledge Economy Sector shall be Rs.50 lakh, whereas the maximum admissible project/unit cost under the Manufacturing Sector shall be Rs.75 lakh.**
ii. **Units with project cost exceeding ₹50 lakh under the Knowledge Economy Sector and ₹75 lakh under the Manufacturing Sector shall also be eligible under the scheme. However, subsidy shall be restricted to the admissible project cost limit of ₹50 lakh and ₹75 lakh respectively, and the remaining project cost shall not be eligible for subsidy assistance**

3.4 Beneficiary contribution and margin-money subsidy norms
The financial structure is designed to promote financial inclusion and credit discipline, with differential subsidy rates for rural and urban areas and enhanced support for special-category entrepreneurs.

Sectors	**Eligible Project Cost**	**Beneficiary Contribution**	**Margin-Money Subsidy Pattern**	**Subsidy Cap (₹ lakh)**
Knowledge economy	Up to ₹ 50 lakhs	**General Category:** **10 %** of project cost **Special**	**Rural Areas:** 25 % (General) / 35 % (Special) **Urban Areas:** 15 % (General) / 25 % (Special)	Maximum ₹ 12 lakh
Manufacturing	Upto ₹ 75 Lakhs			Maximum ₹ 15 lakh

		Categories*: **5 %** of project cost		

*Special Categories: Women, SC/ST, OBC, Minorities, PwD, Ex-Servicemen, Transgenders.

3.5 Financial Structure and Project Cost Components

(i) The project cost shall comprise capital expenditure and working capital.

(ii) Projects without any capital expenditure shall not be eligible for assistance under the scheme.

iii. The cost of land shall not be included in the project cost. Cost of ready-built sheds and long-term lease or rental of work sheds/workshops shall be eligible for inclusion in the project cost, limited to a maximum period of five (05) years.

iv. The working capital component eligible for subsidy shall be limited to a maximum of 40% of the total project cost for both manufacturing knowledge economy.

In all cases, subsidy shall be restricted to the eligible limit, and any additional working capital requirement shall be met through bank finance without subsidy support.

4. Eligibility Conditions of Beneficiaries

The eligibility framework of the Chief Minister's Entrepreneur Program (CMEP) is designed to ensure effective targeting of beneficiaries, inclusive participation, and transparent implementation.

4.1 Eligibility Criteria

Particulars	**Eligibility Conditions**
(a)Applicant Category	Eligible applicants may include Individuals, Proprietary Concerns and Self-Help Groups (SHG's), subject to fulfillment of the prescribed eligibility criteria.
(b) Age Limit	the applicant shall be aged 18 years and above.
(c)Educational Qualification	For projects with a cost exceeding ₹10 lakh in the manufacturing sector, beneficiaries must have passed minimum VIII standard. For knowledge economy projects, irrespective of project cost, beneficiaries must possess a minimum qualification of Graduation.
(d)Eligible Sectors	Manufacturing Sector. Knowledge economy startups such as • Research & Development-driven enterprises • Software and digital platform developers • Digital healthcare and tele-medicine providers

	• FinTech enterprises
(e)First-time Assistance Condition	The applicant/entity should not have previously availed benefits under any Central or State Government scheme providing margin money or capital subsidy for the same or any other unit.

4.2 Other conditions

i. **Ownership and Management:** The enterprise shall be owned and managed by the applicant.
ii. **Training Requirement:** The beneficiary must complete mandatory Entrepreneurship Development Programme (EDP) training through RAMP, RSETI, ESDP, or any other recognized institute under the AP MSME Development Corporation training ecosystem prior to loan disbursement; however, this requirement shall not apply if the beneficiary has completed such training within the last two financial years.
iii. **Location of the Unit:** The unit can be established in both rural and urban areas across the State of Andhra Pradesh, in accordance with applicable zoning, land-use and regulatory norms.

4.3 Definition of Urban Areas and Rural Areas

For the purpose of subsidy classification, project eligibility, and implementation under the scheme, the following definitions shall apply within the State of Andhra Pradesh:

(i) Any area recorded as a Village in the revenue records of the State shall be treated as a **rural area**, irrespective of its population

(OR)

(ii) All areas, regardless of population, that fall under the jurisdiction of Panchayati Raj Institutions shall be considered rural, while areas falling under the jurisdiction of a Municipality / Urban Local Body shall be treated as **urban.**

5. Identification and Selection of Beneficiaries

The identification and selection of beneficiaries shall be carried out through a transparent, merit-based, and district-driven process, ensuring that support is extended to eligible and first-generation entrepreneurs across Andhra Pradesh.

5.1 Mobilization and Receipt of Applications

AP MSME Development Corporation, District Industries Centres (DICs), Society for Elimination of Rural Poverty (SERP), Mission for Elimination of Poverty in Municipal Areas (MEPMA), KVIB, banks and other district agencies shall disseminate scheme information through print, electronic, outdoor, social media, awareness camps.

5.2 Priority and Exemptions

Applicants who have already completed recognized **EDP training** shall be given priority and exempted from training. Only **one member per family** (self + spouse) shall be eligible under the scheme. For the purpose of the scheme, family includes the applicant and the spouse.

6. Implementing Agencies

The Chief Minister's Entrepreneur programme (CMEP) shall be implemented under the overall supervision of the Department of Industries & Commerce, Government of Andhra Pradesh, through the Andhra Pradesh MSME Development Corporation (AP MSME DC) as the State Nodal Agency and implementing agencies (DIC, KVIB, SERP & MEPMA) at the district level.

(i) The scheme shall be implemented through the District Industries Centres (DICs), KVIB, SERP, and MEPMA which shall act as the implementing agencies for receipt, scrutiny, and preliminary appraisal of the applications. The implementing agencies shall complete scrutiny and forward applications within 21 days of receipt. Resubmitted applications shall be assessed within 7 days of re-submission.

(ii) The District Industrial and Export Promotion Committee (DIEPC) shall review applications and progress on a quarterly basis. However, depending on the volume of applications received, the Committee may, at its discretion, convene additional meetings and undertake more frequent reviews as deemed necessary.

(iii) The financing banks shall appraise and take a decision on eligible proposals within 21 days of receipt, in accordance with their internal policies, lending norms and scheme guidelines.

(iv) The State Level monitoring Committee (SLMC) shall function as the apex monitoring and supervisory authority and shall review and monitor scheme implementation on a quarterly basis to ensure adherence to prescribed timelines and guidelines.

6.1 Role of Implementing Agencies (DIC, KVIB, SERP, & MEPMA)

(i) The concerned agency shall receive and acknowledge the online applications submitted by the applicant.

(ii) The concerned agency shall scrutinize the Detailed Project Report (DPR) and all required supporting documents for completeness and eligibility, including verification of the following: whether only one applicant from the family has applied; whether the applicant has previously availed any subsidy under PMEGP/PMRY; whether all required documents have been properly uploaded; and whether the DPR is complete with cost break-up and financial details.

(iii) Incomplete applications shall be returned to the applicant for rectification.

(iv) Upon satisfactory scrutiny, the concerned agency shall appraise the proposal based on a score card-based evaluation system and forward it to the bank for

further consideration.

(v) In case of deficiencies or non-compliance, the concerned agency shall reject the proposal with recorded reasons.

(vi) The status of the application (approved / rejected / returned) shall be updated on the online portal by the concerned agency.

(vii) The entire process at the concerned agency level shall be completed within 21 days from the date of receipt of the online application; however, applications resubmitted after rectification shall be processed within 7 days from the date of re-submission.

Note: The Implementing agencies shall play a proactive role in the**identification and facilitation of new manufacturing projects** and potential entrepreneurs at the district level. It shall also undertake **awareness and outreach activities** to disseminate information about the scheme, including its benefits, eligibility conditions, and application procedures. Further, shall ensure **speedy appraisal and timely processing of applications t**o enable early grounding and effective implementation of eligible projects.

6.2 Role of Financing Banks

(i) The concerned financing bank shall appraise the proposal recommended by the implementing agencies in accordance with its internal lending norms and the scheme guidelines.

(ii) The bank shall assess the technical, financial viability, credit worthiness, and repayment capacity of the applicant.

(iii) Based on the appraisal, the bank shall sanction or reject the loan, with reasons recorded in case of rejection.

(iv) The bank shall complete the appraisal and take a decision within 21 days from the date of receipt of the proposal.

(v) The status of the proposal (sanctioned / rejected / pending) shall be updated on the online portal by the bank.

6.3 Role of District Industrial and Export Promotion Committee (DIEPC)

i) The District Industrial and Export Promotion Committee (DIEPC) shall monitor the implementation of scheme and submit performance reports to the APMSMEDC/ Secretary (Industries).

(ii) The DIEPC shall review application trends, including the number of applications received mandal-wise, social category-wise, implementing agency-wise, and bank-wise, along with pending, approval and rejection rates of each implementing agency and bank, and monitor the performance of loans sanctioned under the scheme.

(iii) The DIEPC shall identify gaps and suggest corrective measures to improve approval rates, including recommending targeted workshops, training in mandals with low application inflow or high rejection rates, and in potential areas with low participation.

(iv) The DIEPC shall analyze activity-wise application patterns and grounding performance and take appropriate decisions to enhance scheme outreach and ensure successful establishment (grounding) of enterprises.

6.4 Role of State Level Monitoring Committee (SLMC)

((i) The State Level Monitoring Committee (SLMC) shall function as the apex supervisory and monitoring authority for implementation of the scheme.

(ii) The SLMC shall review the overall progress and performance of the scheme on a quarterly basis, including pendency, approvals, rejections, disbursements, and loan performance across districts and banks.

(iii) The SLMC shall ensure uniform implementation of guidelines, adherence to timelines, and resolution of inter-departmental and procedural issues.

(iv) The SLMC shall issue necessary clarifications, directions, and corrective measures to implementing agencies and banks to ensure effective implementation of the scheme.

DIEPC (District Industrial and Export Promotion Committee)	**SLMC (State Level Monitoring Committee)**
Chairman: District Collector	**Chairman:**Secretary, Industries & Commerce Dept.
	Director of Industries
Convener: General Manager, DIC	**Convener:** CEO, AP MSME Development Corporation
Lead District Manager (LDM)	General Manager, SLBC
Branch Manager, APSFC	Representative, Finance Department
Project Director, DRDA	Chief Executive Officer, SERP
Project Director, MEPMA	Mission Director, MEPMA
Assistant Director, KVIB	Chief Executive Officer, KVIB
Executive Director of SC and ST corporation	Managing Directors, SC & ST corporation
District Skill Development Officer (DSDO)	Managing Director, Andhra Pradesh State Skill Development Corporation
	Nominees of Industry Associations

Nominees of Industry Associations (01)	(02)
Any other officer/stakeholder nominated by District Collector	Any other member nominated by State Government

6.5 Nodal Implementing Agency

The **AP MSME Development Corporation** shall act as the State Nodal Implementing Agency and the respective PMU shall be responsible for:

(i) Consolidation of proposals, fund release coordination, and maintenance of a centralised database of applications, sanctions, and subsidy disbursements.

(ii) Development, operation, and management of the CMEP Online Portal to enable end-to-end digital processing and real-time tracking.

(iii) Coordination of training, capacity building, and Entrepreneurship Development Programmes (EDP) through accredited institutions.

7. Financial Institutions

Financial assistance under the scheme shall be extended through eligible financial institutions operating within Andhra Pradesh. These institutions will sanction and disburse loans, retain the margin money/Subsidy as Term Deposit Receipt and ensure post-disbursement monitoring as per approved guidelines.

7.1 Eligible Financial Institutions

i. All public sector banks
ii. Regional Rural Banks
iii. Private sector banks.
iv. Co-operative banks.
v. Stree Nidhi credit co-operative society.

7.2 Role and Responsibilities of Financial Institutions

i. **Verification and Credit Appraisal.** Upon receipt of applications recommended by the implementing agency, the financing banks shall verify the applicant and project details, conduct field inspection, and undertake detailed credit appraisal, including assessment of technical feasibility, financial viability, repayment capacity, and credit risk, in accordance with CMEP guidelines and the bank's extant credit policies.

ii. **Sanction and Disbursement.** Banks shall independently take a decision on sanction of eligible proposals based on the outcome of credit appraisal and shall disburse the loan amount in phases, linked to project implementation milestones, in accordance with scheme norms and standard banking practices.

iii. **Margin Money Subsidy Management.** The margin money subsidy shall be retained by the lending financial institution in the form of a Term Deposit Receipt (TDR) for a lock-in period of three years. Upon satisfactory verification of project grounding and continuous operation of the unit during the lock-in period, the subsidy amount shall be adjusted against the loan outstanding, as per scheme guidelines.

iv. **Collateral-Free Lending.** Loans up to ₹20 lakh shall be extended without collateral security, in accordance with RBI guidelines and CGTMSE norms, wherever applicable. Loans above ₹20 lakhs can be covered under CGTMSE.

v. **Timely Submission of Claims and Reports.** Banks shall submit subsidy claims in the dedicated portal within stipulated timelines.

vi. **Monitoring and Reporting.** Banks shall undertake physical monitoring of the financed units on a quarterly basis to assess their grounding, operational status and performance. Banks shall also participate in district- and state-level review meetings and ensure timely reporting on the performance of CMEP-assisted units, including repayment status and classification of non-performing assets (NPA's).

8.Bank Finance

i. The Bank will sanction 90% of the project cost in case of General Category of beneficiary and 95% in case of Special Category of the beneficiary and disburse full amount suitably for setting up of the project.

ii. Bank will finance Capital Expenditure in the form of Term Loan and Working Capital in the form of cash credit. Project can also be financed by the Bank in the form of composite loan consisting of Capital Expenditure and Working Capital.

iii. **The maximum permissible project cost under AP CMEP shall be Rs. 50 lakh for Knowledge Economy Sector projects and Rs. 75 lakh for Manufacturing Sector projects inclusive of Term Loan for Capital Expenditure and Working Capital.** The Working Capital component shall not exceed 40% of the total project cost for manufacturing and knowledge economy activities. In cases where the Capital Expenditure reaches the maximum ceiling of the project cost, the Bank may consider sanctioning additional funds over and above Rs. 50 lakhs / Rs. 75 lakhs. Such additional funding shall not be eligible for subsidy.

iv. **Rate of interest and repayment schedule**: Rate of interest shall be charged as per prevailing bank norms. Repayment schedule may range between 3 to 7 years after an initial moratorium as may be prescribed by the concerned Bank/ financial institution.

9.Entrepreneurship Development Programme (EDP)
The objective of the Entrepreneurship Development Programme (EDP) is to provide orientation and awareness on key managerial and operational aspects such as finance, production, marketing, enterprise management, banking formalities, book-keeping, and statutory compliance's to enable beneficiaries to run their enterprises effectively. The beneficiary shall complete mandatory EDP training through RAMP, RSETI, ESDP, or any other recognized institute (not required if completed within the last two financial years)

10. Application and Sanction Process

The application and sanction process shall follow a transparent, time-bound, and accountable workflow.

10.1 Online Application
All applications under the scheme shall be submitted mandatorily through the dedicated online portal developed for CMEP. No physical or offline applications shall be accepted under any circumstances. The portal shall provide application modules for beneficiaries.

The applicant shall submit the online application by entering the requisite details and uploading the Detailed Project Report (DPR) along with other prescribed documents. Upon successful submission of the application, the system shall generate a **Unique Application Identification Number (UAIN)**, which shall be communicated to the applicant through the registered e-mail ID and mobile number for future reference. The applicant may also download and print the system-generated acknowledgement as proof of submission of the application. Thereafter, the submitted application and documents shall be electronically forwarded to the implementing Agencies, viz. Society for Elimination of Rural Poverty (SERP), Mission for Elimination of Poverty in Municipal Areas (MEPMA), Khadi and Village Industries Board (KVIB), District Industries Centre (DIC) for further processing.

10.2 Implementing Agency (SERP, MEPMA, KVIB, & DIC)

Upon receipt of applications through the online portal, the designated representative of the implementing agency shall scrutinize all applications within 21 working days as per guidelines and assess their feasibility, and take a decision to approve, reject, or return the application for resubmission after necessary corrections. Resubmitted applications shall be re-examined within 7 days of resubmission. The scrutiny shall include, but not be limited to, the following:

i. Single application per family
ii. Previous subsidy availed under PMEGP/PMRY by the applicant
iii. Completeness of required documents uploaded
iv. DPR completeness, including cost break-up and financial details
v. Classification of the proposed unit as urban or rural

vi. Feasibility of the proposed activity in the given area
vii. Verification of caste certificate in case of special category applicants
viii. Adequacy and authenticity of other supporting documents

The implementing agency may undertake additional verification as deemed necessary for proper appraisal. A score card-based appraisal shall be undertaken before forwarding the application to the concerned bank for consideration.

Project Cost	**Minimum Score for Forwarding to Banks**
Up to Rs. 10 Lakhs	50 out of 100
Above Rs.10 Lakhs	60 out of 100

10.3 Bank Appraisal and Sanction

The financing bank shall appraise the Detailed Project Report (DPR) and take an independent credit decision based on technical feasibility, financial viability, and repayment capacity of each proposal, in accordance with extant RBI guidelines and the bank's internal credit policies, within 21 days of receipt of the application from the implementing agency. No collateral security shall be insisted upon by banks for loans up to ₹20 lakh, in line with RBI guidelines, for projects forwarded under the scheme, and such loans may be covered under the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), as applicable. The appraisal shall, inter alia, include the following indicative parameters:

i. Whether the unit is viable in the proposed location
ii. Availability of raw materials
iii. Adequacy of marketing strategy
iv. Financial discipline history of the promoter
v. Creditworthiness and repayment behavior of the promoter
vi. Whether the activity falls under the negative list of activities
vii. Capability of the promoter to operate the unit
viii. Suitability of the proposed site

These parameters are indicative and not exhaustive, and the financing bank may carry out such additional due diligence and verification as deemed necessary for proper appraisal and credit decision.

The outcome of the bank's appraisal, including sanction or resubmit or rejection of the proposal, shall be updated on the online portal. In case of sanction, the bank shall upload the sanction letter along with a brief sanction summary on the portal.

The financing bank shall have the right to reduce the project cost approved by the implementing agency if the project cost is found to be inflated; however, the bank shall not increase the project cost beyond the limit approved by the implementing agency.

10.4 Entrepreneurship Development Programme (EDP) & Promoter Contribution

After receiving the bank's sanction communication, the applicant shall complete mandatory Entrepreneurship Development Programme (EDP) training through RAMP, RSETI, ESDP any other recognized institute, either online or offline, and upload the EDP certificate on the portal within 30 days from the date of receipt of such sanction communication. This requirement shall not apply where the applicant has already completed valid EDP or REDP training from a recognized institution within the last two financial years.

Upon completion of the training, the applicant shall also submit a copy of the EDP certificate to the financing bank for verification and shall deposit the promoter contribution with the bank as per scheme norms. The applicant shall ensure compliance within the stipulated time, and any undue delay in completion or submission may lead to rejection of the proposal by the financing bank.

10.5 Disbursement of First Instalment by Financing Bank

After verifying the EDP certificate and receipt of promoter contribution, the financing bank shall disburse the first instalment of the loan to the applicant.

10.6 Margin Money Claim Request

After disbursing the first instalment of the loan, the bank shall submit the margin money claim to the concerned implementing agency (SERP, MEPMA, KVIB & DIC) within 20 days of such disbursement, along with the disbursement letter or loan account statement evidencing the release of the first instalment.

10.7 Verification of Margin Money Claim Request

The implementing agency shall verify the margin money claim submitted by the bank and forward the same to the nodal agency (AP MSME Development Corporation) within 03 working days.

10.8 Approval of Margin Money by Nodal Agency (AP MSME DC)

The Nodal Agency, upon receipt of the margin money claim verify and forward by the Implementing Agency, shall approve it within 03 working days.

10.9 Release of Margin Money by Nodal Bank

The AP MSME Development Corporation shall appoint a Nodal Bank to transfer funds to the beneficiary banks. The Nodal Bank, upon receiving the margin money claim approved by the AP MSME Development Corporation, shall transfer the margin money amount to the financing bank.

10.10 Margin Money Lock-in through TDR by Bank

The financing bank, upon receipt of the margin money/subsidy, shall open a Term

Deposit Receipt (TDR) in the name of the beneficiary within 24 hours of receipt of such amount and retain the same, duly lien-marked to the loan account, for a mandatory lock-in period of three (03) years. The margin money maintained as TDR shall remain locked without earning interest for the said period, and no interest shall be charged by the bank on the corresponding loan amount.
In the event that the bank advance becomes non-performing before completion of the three-year lock-in period, due to reasons beyond the control of the beneficiary, the margin money subsidy shall be refunded by the bank to the State Nodal Agency. Any subsequent recovery effected by the bank from any source shall be appropriated towards liquidation of the outstanding loan dues.
Prior to release of bank finance, the bank shall obtain a written undertaking from the beneficiary stating that, in the event of any objection recorded and communicated in writing by the implementing agency, the beneficiary shall refund the margin money subsidy retained in the TDR or released after completion of the lock-in period, as applicable.

10.11 Margin Money Adjustment Request

After completion of the three-year lock-in period, the financing bank shall submit a margin money adjustment request to the concerned implementing agency, along with the loan account statement.

10.12 Physical Verification of units by Implementing Agency SERP

The SERP upon receipt of the margin money adjustment request from the financing bank, shall conduct physical verification of the unit. Based on the verification and assessment of satisfactory repayment behavior of the beneficiary, the implementing agency shall take a decision on approval or rejection and update the same on the portal.
In case of any dispute, joint verification may be undertaken by the SERP in coordination with the financing bank, other implementing agencies, if required. The financing bank shall adjust the margin money/subsidy only upon receipt of the margin money adjustment letter from the SERP and after completion of the mandatory lock-in period of three years. The financing bank shall not adjust the margin money subsidy without such approval or before completion of the lock-in period.
In cases where the margin money subsidy is to be recalled, the financing bank shall remit the amount back to the nodal bank through a proper accounting system.

10.13 Adjustment of Margin Money

Upon approval of the margin money adjustment request by the SERP, the financing bank shall adjust the margin money subsidy towards the loan account of the beneficiary.
In cases where the loan amount is not fully utilized for the intended purpose, the margin money subsidy shall be adjusted proportionately, and the underutilized portion shall be remitted back to the nodal bank by the financing bank.
In case the implementing agency rejects the margin money adjustment request due to non-functioning of the unit, the account turning non-performing Asset (NPA), or any other valid reason, the financing bank shall refund the margin money kept in

the TDR to the nodal bank.

10.14 Transparency and Monitoring

The entire online application and sanction workflow shall be digitally recorded on the portal to ensure transparency and traceability. Applicants shall receive real-time alerts through SMS and email at key stages, including scrutiny, sanction, training requirements, and Margin Money release. All rejections shall clearly specify reasons to facilitate corrective action and re-submission where applicable. The portal shall also provide dashboards to State and District authorities for monitoring pendency, timelines, category-wise approvals, bank-wise performance, and overall scheme progress.

11.Monitoring, Physical Verification and Evaluation

Effective monitoring and evaluation shall be integral to the implementation of the scheme to ensure transparency, adherence to guidelines, timely release of financial assistance, and sustained functioning of the enterprises established. Monitoring will be undertaken by implementing agencies concerned at district level to ensure accountability throughout the project cycle.

11.1 Physical Verification of Units

Physical verification along with Geo-tagging shall be mandatory for all units assisted under the scheme to ensure that enterprises are established and operating in accordance with the approved project. The verification process shall be undertaken primarily by the SERP officers or other authorized personnel responsible for confirming the establishment, functioning, and utilization of funds by the beneficiary. In certain cases, particularly during the full-scale roll-out or where specialized technical assessment is required, the State Government may also engage qualified third-party agencies to conduct verification on its behalf.

Physical verification shall be carried out after completion of 03 years from first instalment of loan disbursement. However, additional or follow-up verification's may be undertaken at any stage if deemed necessary by the implementing agencies or the financing bank, particularly in cases where discrepancies arise, where the unit appears to be non-operational, or where monitoring indicators suggest potential risk to the viability or compliance of the enterprise.

11.1.1 Verification Parameters

Verification shall cover the following aspects:

i. Whether the unit has been established at the approved location
ii. Whether the machinery, equipment, and working capital have been utilized as per the sanctioned project
iii. Whether the enterprise is operational and generating employment
iv. Utilization of the loan and Margin Money for approved purposes
v. Compliance with lock-in period norms for the Margin Money held as Term Deposit Receipt (TDR)
vi. Repayment discipline and operational sustainability

11.1.2 Documentation

All physical verification findings shall be recorded in a standardized format prescribed by the State Nodal Agency, ensuring uniformity and completeness of information across districts. The verified reports shall be uploaded onto the CMEP portal and simultaneously maintained in the records of the implementing agencies for audit and monitoring purposes. Units found to be non-operational, closed, or engaged in misutilization of funds shall be promptly flagged for appropriate recovery action, including reversal of the Margin Money subsidy wherever applicable, in accordance with the scheme guidelines and directions issued by the State Government.

11.2 Evaluation of the Scheme

A comprehensive evaluation of the scheme shall be undertaken after a substantive period of implementation to assess:

i. Effectiveness in achieving employment targets
ii. Quality and sustainability of enterprises
iii. Inclusion outcomes across SC/ST/OBC/Women/PwD categories
iv. District-wise and sector-wise performance
v. Efficiency of loan processing, EDP delivery, and subsidy disbursal
vi. Impact on MSME growth and regional economic development

The evaluation may be conducted by an independent agency, academic institution, or Government-appointed committee. Findings and recommendations shall be used to refine operational guidelines and improve the scheme's delivery mechanisms.

11.3 MIS-Based Monitoring and Transparency (Online Phase)

The online CMEP portal shall support real-time monitoring, enabling:

i. Tracking of application status at every stage
ii. Monitoring of EDP completion
iii. Bank sanction, disbursement and repayment status updates
iv. Verification of Margin Money claims
v. Physical verification uploads
vi. District-wise dashboards for officers
vii. Automated alerts to beneficiaries and banks
viii. Audit trail for all actions

This digital MIS framework shall significantly enhance transparency, accountability, a efficiency across the implementation chain.

12. Bankers' Review Mechanism

To ensure effective coordination with lending institutions and to address operational challenges in appraisal, sanction, and disbursement of loans under the scheme, a structured Bankers' Review Mechanism shall be established at the

State level.

12.1 State-Level Bankers' Review Meeting

During the Quarterly State Level Bankers' Committee (SLBC) Meetings, the performance of the scheme shall be reviewed with reference to loan sanctions, disbursements, Margin Money release, adherence to prescribed timelines, coverage under CGTMSE, compliance with collateral-free lending norms, and repayment performance of supported units. The meetings shall also examine issues relating to delays in appraisal and disbursement, monitor Non-Performing Assets (NPAs), strengthen coordination between implementing agencies and banks, and recommend suitable operational or policy-level improvements for effective implementation of the scheme.

12.2 Annual Review

An annual comprehensive review shall be conducted under the Chairmanship of the Secretary, Industries & Commerce, with participation from the Chief General Managers of major banks, the State Level Bankers' Committee (SLBC), and the Andhra Pradesh MSME Development Corporation (APMSMEDC). This review shall assess the overall credit flow under the scheme, examine district-wise and sectoral variations in performance, and document key success stories as well as implementation challenges. The meeting shall also identify the need for any mid-course corrections, including procedural refinements, capacity enhancement measures, or modifications to strengthen the effectiveness and reach of the scheme.

13.Financial Implications

The financial outlay and physical targets under the scheme have been determined based on the approved project-cost , differential subsidy rates for rural and urban areas, and the overall budgetary allocation of **₹300 crore** earmarked for the implementation period. The projections consider the expected distribution of manufacturing enterprises across both and have been modeled to ensure fiscal prudence, equitable sectoral coverage, and phased expansion of the scheme.

The financial estimations have been computed separately for manufacturing units and Knowledge Economy units. The Knowledge Economy units up to ₹50 lakh and manufacturing units up-to ₹75 lakh, based on the approved Margin Money subsidy rates of 25–35% in rural areas and 15–25% in urban areas. These projections assume that all beneficiaries avail the maximum permissible loan amount within their respective project costs, and that the highest eligible subsidy percentage applies. Accordingly, the year-wise subsidy outflow and physical targets are presented below.

13.1 Subsidy Outflow (Year-wise):

(Manufacturing & Knowledge Economy Units – up to ₹ 50 lakh)

This table provides the annual subsidy outflow and project coverage reflecting smaller, micro-scale enterprises across manufacturing sector. It details the expected number of Projects, per-project subsidy, and total year-wise fiscal

requirement based on area and category distribution.

Financial Year	**Projects (No.)**	**Subsidy Out Flow (Rs. Crore)**
2026-27	890	70.25
2027-28	820	64.70
2028-29	820	67.70
Total	**2,530**	**199.65**

13.2 Subsidy Outflow (Year-wise):

(Manufacturing Units up to ₹ 75 Lakh)

This table outlines projections for covering larger, asset-heavy, and employment-intensive enterprises. It summarizes the number of projects and corresponding subsidy disbursements under the higher project-cost range.

Financial Year	Projects (No.)	Subsidy Out Flow (Rs. Crore)
2026-27	270	27.00
2027-28	370	37.00
2028-29	350	35.00
Total	**990**	**99.00**

13.3. Aggregate Subsidy Outflow and Overall Budget Requirement

Financial Year	**Total Projects (No.)**	**Total Employment (No.)**	**Annual Subsidy (Rs. Crore)**
2026-27	1,160	5,800	66.82
2027-28	1,190	5,950	98.23
2028-29	1,170	5,850	100.37
2029-30	0	0	33.23
Total	**3,520**	**17,600**	**298.65**

This consolidated table combines projections, presenting the total number of enterprises to be supported and the overall four-year financial requirement. The aggregate outflow amounts to ₹ 298.65 crore, covering an estimated 3,520 units across the State.

Taken together, the above projections provide a clear assessment of the financial implications of the scheme over the three-year period. The estimated subsidy requirement of ₹298.65 crore remains within the approved financial outlay of ₹300 crore, ensuring fiscal discipline while enabling substantial coverage of micro and small enterprises across the State. These projections are calculated assuming that all beneficiaries avail the highest permissible loan amount and maximum eligible subsidy percentage.

In practice, however, most applicants—particularly micro-entrepreneurs—are expected to opt for projects with lower capital requirements, resulting in lower per-unit subsidy outflows and allowing for coverage of a higher number of enterprises within the approved financial envelope.

14. Workshops and Exhibitions

(i) To create awareness among aspiring entrepreneurs about the benefits and subsidy provisions under the CMEP Scheme.

(ii) To educate participants on the application process, eligibility criteria, and documentation required for availing assistance under the scheme.

(iii) To interact with beneficiaries and obtain feedback on implementation, challenges faced, and support required for effective hand-holding.

(iv) To facilitate market linkages for units through RAMP initiatives Raising and Accelerating MSME Performance Programme and other support mechanisms.

15. Application Tracking system (E-Portal)

The end-to-end application process shall be implemented through an online system, with separate logins provided to various stakeholders to ensure effective implementation of the scheme. Applicants will be able to submit, monitor, and track the status of their applications in real time through the online portal.

16.Publicity and Awareness Strategy

To ensure broad-based outreach and effective mobilization of prospective entrepreneurs across rural and urban areas of Andhra Pradesh, a structured Publicity and Awareness Strategy shall be adopted. The objective is to generate widespread awareness of the scheme's benefits, eligibility criteria, financial assistance norms, online application procedures, and the support ecosystem available for enterprise establishment.

A comprehensive communication campaign shall be undertaken by the implementing agencies (DIC, KVIB, SERP & MEPMA) in coordination with the

State Nodal Agency, APMSME Development Corporation, banking institutions, and sectoral partners. Publicity efforts shall include dissemination of scheme information through print media, local newspapers, radio announcements, social media platforms, official government websites, and district-level information channels. Visual communication materials such as posters, banners, hoardings, brochures, and digital content shall be developed and displayed at implementing agencies, Common Service Centres (CSCs), bank branches, Gram Panchayat offices, Mandal-level institutions, and urban local bodies to ensure wider reach.

District-level Awareness Camps shall be organized periodically to inform and orient potential beneficiaries about the application process, training requirements, eligibility criteria, and project preparation. These camps shall prioritize mobilization of youth, women, Scheduled Castes, Scheduled Tribes, Other Backward Classes, Persons with Disabilities, and other special categories. The sessions shall involve presentations by DIC officials, representatives of banks, training institutions, and industry associations, along with facilitation desks for clarifying queries and providing hand holding support.

In addition, entrepreneurship outreach workshops shall be conducted at colleges, ITIs, Polytechnics, incubation centres, rural development institutions, and clusters to promote participation of skilled youth and encourage uptake of manufacturing and service enterprise opportunities. Publicity initiatives shall also highlight successful CMEP-supported entrepreneurs through case studies, media stories, and district-level events to inspire wider participation.

The State Nodal Agency shall prepare an annual communication plan, including budgets for publicity activities, and issue guidelines to DICs to ensure uniform messaging, accurate dissemination of scheme information, and timely reporting of outreach activities. All publicity and awareness activities shall be documented, and district-wise reports shall be submitted quarterly for review by the State Level Approval Committee (SLMC).

17.Negative List of Activities

Financial assistance under the scheme shall not be provided for any project, activity, or enterprise falling under the following prohibited categories. These restrictions are aligned with the existing norms under PMEGP and related MSME financing guidelines to ensure environmental compliance, ethical standards, and regulatory adherence.

17.1 Activities Related to Meat, Liquor, and Intoxicants

The following units shall not be eligible:

i. Processing, slaughtering, or canning of meat, poultry, or fish
ii. Serving or sale of liquor, alcoholic beverages, toddy tapping
iii. Production, processing, or sale of tobacco and tobacco-based products (beedi, cigar, cigarette, gutka, pan masala, etc.)

17.2 Environmentally Prohibited or Restricted Activities

Projects falling under the following categories shall be ineligible:

i. Manufacturing of plastic carry bags, polythene, thermocol or any item banned under environmental regulations of the Government of India or Government of Andhra Pradesh
ii. Hazardous chemical industries or units requiring environmental clearance that cannot be obtained within permissible project timelines
iii. Any activity that violates pollution control norms or requires consent that cannot be produced

17.3 Agricultural and Plantation Activities (Primary Cultivation)

The scheme does not support activities related to:

i. Cultivation or plantation of crops such as tea, coffee, rubber, cardamom, etc.
ii. Primary agricultural operations such as growing vegetables, cereals, horticulture, floriculture, sericulture, or aquaculture
iii. Rearing of animals such as goatery, sheep rearing, piggery, poultry farming, and similar primary animal husbandry activities

Note:
Argo-processing and value-addition units are eligible, provided they involve manufacturing, processing, packaging, and comply with FSSAI/other norms.

17.4 Units Covered under Banned/Restricted Products

Any activity prohibited by Government of India, Government of Andhra Pradesh, or any statutory authority shall be ineligible. Examples include:

i. Firecrackers manufacturing without required licenses
ii. Hazardous waste processing without regulatory approval
iii. Production of counterfeit, pirated, or legally restricted items
iv. Units that have previously availed subsidy under PMEGP, REGP, or any other Central/State credit-linked subsidy scheme
v. Existing units expanding or modernizing using subsidy already availed under other schemes. Only **new units** shall be supported under the scheme.

Annexure: Required Documents for CMEP Andhra Pradesh Application

The following documents shall be submitted by applicants at the time of application through online. Items marked **(✱ Mandatory)** are compulsory for all applicants.

A. Identity, Age & Domicile Documents

1. **Aadhaar Card Number** (✱ Mandatory)

2. **Proof of Age** (any one) (✱ Mandatory)

- Birth Certificate
- SSC Certificate
- Aadhaar (if DOB printed)
- Passport

B. Educational Qualification & Skill Documents

3. Educational Qualification Certificate (✱ Mandatory)

- Minimum 8th Standard pass for all applicable cases (as per scheme eligibility).

4.Skill/Technical Training Certificates (Optional but recommended)

- *ITI, Polytechnics, Skill India, NSDC, other vocational training relevant to the project.*

C. Social Category & Special Category Documents

(Required only if applicable)

5. **Caste Certificate** – SC / ST / OBC (✱ Mandatory for claiming special category benifits)
7. **Disability Certificate under PwD Act, 2016** (for PwD applicants)
8. **Ex-Servicemen Certificate** (if applicable)

D. Enterprise-Related Documents

9.Project Report (✱ Mandatory)

- Business description
- Cost of project
- Machinery & equipment list
- Working capital assessment
- Profitability projections
- Employment creation

10.Land/Workshed Documents (as applicable):

- Rental agreement (if on rent)
- Provisional allotment/Sale Agreement/Sale Deed (for sheds/industrial parks)

E. Bank-Related Documents

11. Bank Account Details (✱ Mandatory)

- Bank Passbook Copy

F. Training & EDP-Related Documents

12. Entrepreneurship Development Programme (EDP) Certificate

Applicant can upload on the CMEP portal who completed following:

- EDP , ESDP, RSETI and Similar trainings
  (Mandatory only before loan disbursement; not mandatory at time of application.)

G. Declaration & Compliance Documents

13. Undertaking that the applicant has not availed subsidy under any Central or State MSME scheme earlier (✱ Mandatory)

14. Self-Declaration of Family Eligibility

(Confirming only one member per family avails the scheme)

*15.***Consent to Credit Guarantee Scheme (CGTMSE) coverage** (Required at sanction stage)

H. Additional Documents (as applicable)

16. PAN Card. Strongly recommended; may become mandatory at bank appraisal

Checklist of Documents

Mandatory Documents	**Submitted**	**Not Submitted**	**Remarks**
Aadhaar Card	Yes	No	
Proof of Age (any one document)	Yes	No	
Andhra Pradesh Domicile / Residential Certificate	Yes	No	
Educational Qualification Certificate	Yes	No	
Detailed Project Report	Yes	No	
Bank Account Details (Cancelled Cheque / Passbook Copy)	Yes	No	
Undertaking of Non-Availing Subsidy under any Central / State MSME Scheme	Yes	No	
Affidavit / Self-Declaration for First-Time Entrepreneur Status	Yes	No	
Self-Declaration of Family Eligibility (One member per family)	Yes	No	
Mandatory (If Applicable)			
Caste Certificate (SC / ST / OBC)	Yes	No	
Disability Certificate (RPwD Act, 2016)	Yes	No	
Ex-Servicemen Certificate	Yes	No	
Land / Workshed Documents (Rental Agreement / Lease Deed / NOC)	Yes	No	
Consent for CGTMSE Coverage *(at sanction stage)*	Yes	No	

Non-Mandatory / Conditional Documents			
Skill / Technical Training Certificates	Yes	No	
Entrepreneurship Development Programme (EDP) Certificate *(mandatory before loan disbursement)*	Yes	No	
PAN Card	Yes	No	

19. ANNEXURE-II: CREDIT SCORING CRITERIA – AP CMEP

The model is based on a set of characteristics which are grouped as Personal, Business and Collateral.

The acceptable borrower should get a minimum score of 50 out of 100 for loan upto Rs.10 lakhs and for loan above Rs.10 lakhs minimum score of 60 out of 100.

1. Personal details

Sr.No	Parameters	Maximum Marks	Marks Scored	Criteria	Marks
1	Age	10		25 to 40 18 to 24 41 to 49 50 & above	10 8 7 5
2	No. of dependents	2		Upto 3 >3	2 0
3	Owning a house/parental house	5		Yes No	5 2
4	Residing at the same address/location	10		5 years and above 2-5 years Less than 2 years	10 7 5
5	Academic qualification	10		Graduation Intermediate or More Metric Below Metric	10 7 5
6	Experience in the line of trade	8		=>3 years 1 to 3 years <1 year Nil	8 6 3 0
7	Any other source of income incl. family	5		Yes No	5 2
8	Assessed for Income Tax	2		Assessed Not assessed	2 1
9	Have life insurance policy (PMSBY, PMJJBY, APY or any other insurance policy) (*point 1 for each max 3)	3		Yes No	* 0
	Marks Scored	55			

2. New Venture/Firm

Sr.No	Parameters	Maximum Marks	Marks Scored	Criteria	Marks
1	Relationship with lending Bank	10		Above 3 years 1 to 3 years <1 year New	10 8 6 5
2	Credit History	10		Very Good Satisfactory No history Poor	10 8 5 3
3	Skill Certification Course/RSETI/ESDP/ITS/ Computer Knowledge	5		Yes No	5 2
4	Repayment period (not applicable for only working capital loans)	5		Upto 5 years Above 5 years	5 3
5	Employment Generation	5		Above 5 3 to 5 Self employed	5 3 2
	Marks Scored	25			

3. Security

Sr.No	Parameters	Maximum Marks	Marks Scored	Criteria	Marks
1	Collateral securities coverage: Not covered under CGTMSE/CGFMU/CGSSI OR	10		100% & above 50% to <100% Less than 50%	10 8 6
2	Covered under CGTMSE/CGFMU/CGSSI	10		Yes	10
	Marks Scored	20			

I. What is the minimum educational qualification required under AP-CMEP?

For manufacturing sector projects with a project cost exceeding ₹10 lakh, the beneficiary must have passed at least the VIII Standard. For Knowledge Economy projects, irrespective of project cost, the beneficiary must possess a Degree qualification.

J. Which sectors are eligible under AP-CMEP?

The Scheme supports enterprises in the Manufacturing Sector and Knowledge Economy sector. Eligible Knowledge Economy activities include AI start-ups, Research & Development (R&D)-driven enterprises, software and digital platform developers, digital healthcare and telemedicine providers, FinTech enterprises, AI Labs, Biotechnology enterprises, and other emerging technology-based activities.

K. Who are treated as Special Category beneficiaries under the Scheme?

Women, SC/ST, OBC, Minorities, Persons with Disabilities (PwD), Ex-Servicemen, and Transgenders are treated as Special Category beneficiaries under AP-CMEP and are eligible for reduced beneficiary contribution and enhanced subsidy benefits.

L. What is the beneficiary contribution required under the Scheme?

General Category beneficiaries shall contribute 10% of the project cost, whereas Special Category beneficiaries shall contribute only 5% of the project cost.

M. What is the working capital limit under AP-CMEP?

The Working Capital component eligible under the Scheme shall not exceed 40% of the total project cost for both manufacturing and knowledge economy projects.

N. Is the cost of land included in the project cost?

No. The cost of land shall not be included in the project cost under AP-CMEP. However, the cost of ready-built sheds and long-term lease/rental of work sheds or workshops, limited to a maximum period of five (05) years, may be included in the eligible project cost.

O. Is Entrepreneurship Development Programme (EDP) training mandatory under AP-CMEP?

Yes. Beneficiaries are required to complete mandatory EDP training through RAMP, RSETI, ESDP, or any other recognized institute under the AP MSME Development Corporation training ecosystem prior to loan disbursement. However, applicants who have completed such training within the last two financial years are exempted from undergoing fresh training.

P. Can more than one member from the same family apply under the Scheme?

No. Only one member from a family (self and spouse) shall be eligible to avail assistance under AP-CMEP.

Q. Are existing units eligible for assistance under AP-CMEP?

No. Only new enterprises are eligible under the Scheme. Existing units or units that have already availed subsidy under PMEGP, REGP, or any other Central/State Government subsidy-linked scheme are not eligible.

R. Is collateral security required for loans under AP-CMEP?

No collateral security shall be insisted upon by banks for loans up to ₹20 lakh, in accordance with RBI guidelines and CGTMSE norms, wherever applicable.

S. What is the maximum project cost permissible under AP-CMEP?

Under AP-CMEP, the maximum permissible project cost shall be ₹50 lakh for Knowledge Economy Sector projects and ₹75 lakh for Manufacturing Sector projects.

T. What is the criteria for classifying an application under Rural or Urban subsidy? Is it based on applicant residence or unit location?

Classification of Rural or Urban subsidy depends only on the location where the unit is proposed to be established, and not on the residential address of the applicant. For example, if an applicant resides in a rural area but proposes to establish the unit in an urban location, the applicant will be eligible under Urban subsidy, and vice versa.